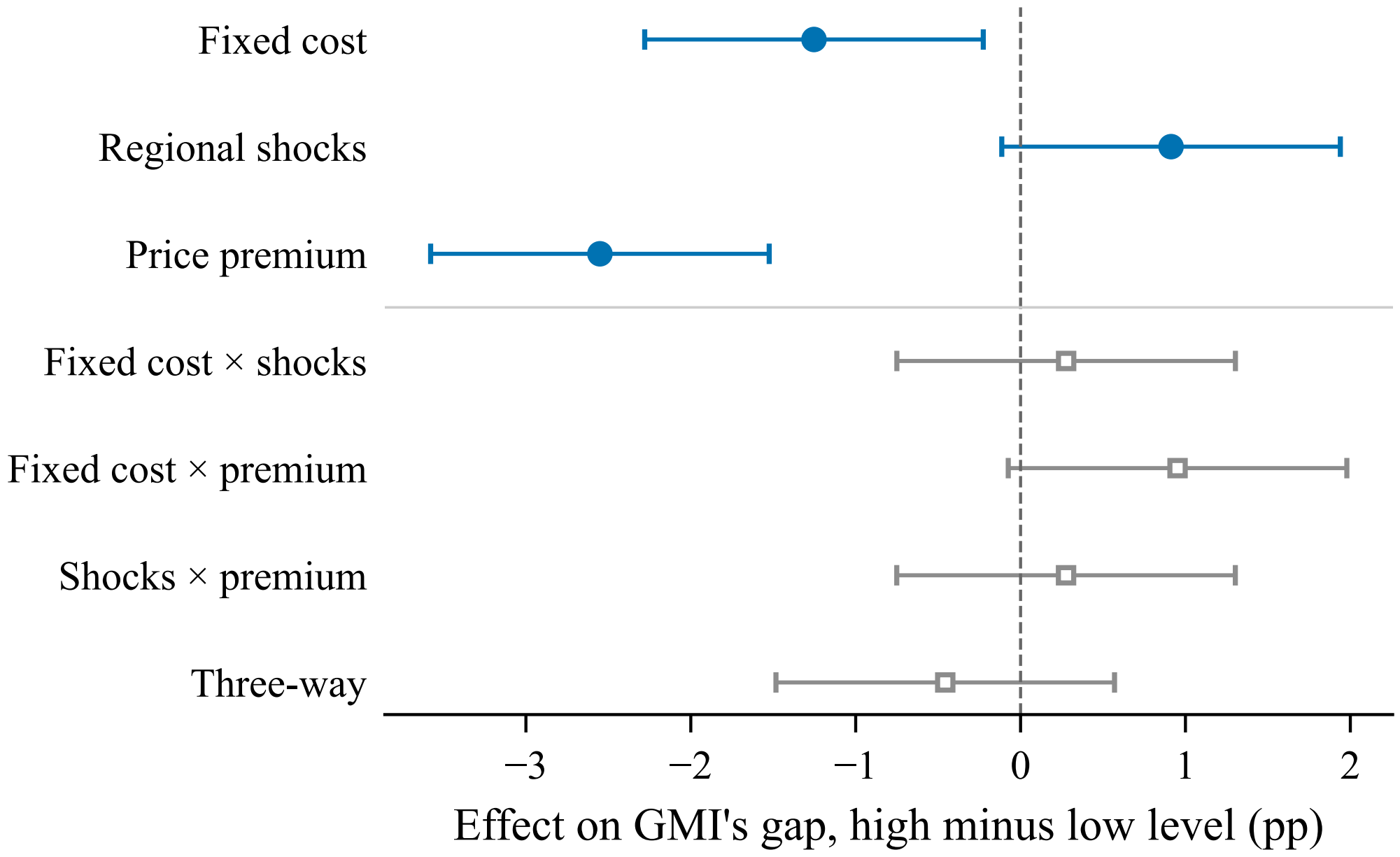
Fixed cost
Regional shocks
Price premium
Fixed cost × shocks
Fixed cost × premium
Shocks × premium
Three-way
−3
−2
−1
0
1
2
Effect on GMI's gap, high minus low level (pp)